

Misconduct by Insurance Agents

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Does the Labor Market for Insurance Agents Punish Misconduct?

- **Nearly everyone buys insurance, and much of it is mandated.** Auto liability to drive in nearly every state, homeowners for most mortgages, health coverage for most households.
- **Insurance is complex and hard for consumers to evaluate, so most of it is sold by a licensed agent:** about two thirds of personal auto, most homeowners and life, three quarters of marketplace health plans. Customers pay up front and learn the quality of what they bought later, at a claim, if at all.
- **Not a typical principal-agent problem.** One agent is often appointed by many carriers at once, and none of them employs the agent. With multiple carriers and multiple regulators, it is not clear who is in a position to monitor the agent and apply discipline.
- **Regulation is fragmented too.** An agent needs a separate license for each state and each line of authority (life, health, P&C), from that state's regulator. A sanction in one state does not necessarily affect the others.
- **Whether anyone does is an open question.** Access to the data is the challenge: misconduct records sit with state regulators and are typically not public. **Our answer: it depends on who can see the record.**

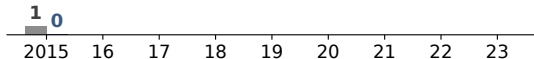
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He became licensed in Pennsylvania in 2015 to sell health and life insurance. Within two months he adds licenses in 20 more states, and holds 26 by the end of 2016.

Grey: states where he holds a license at year-end. **Blue:** carriers appointing him at year-end (light blue: new).

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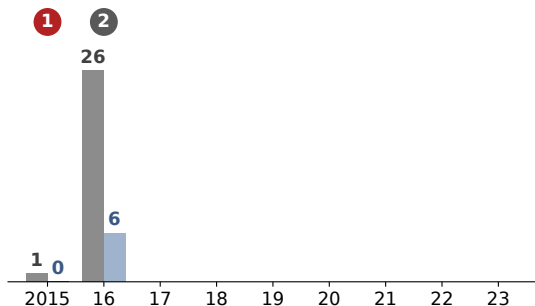
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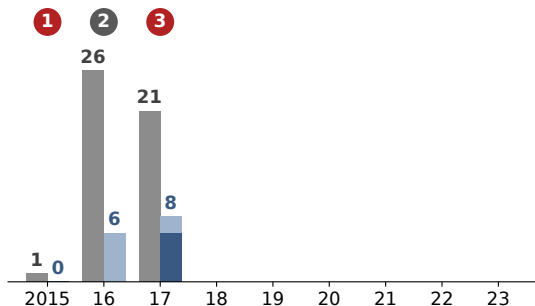
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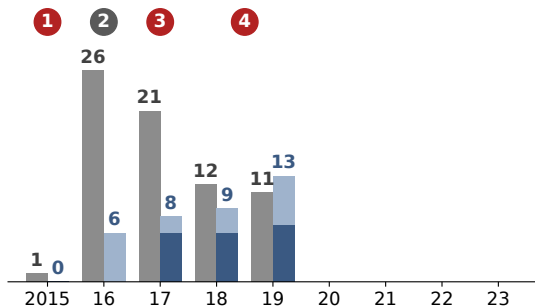
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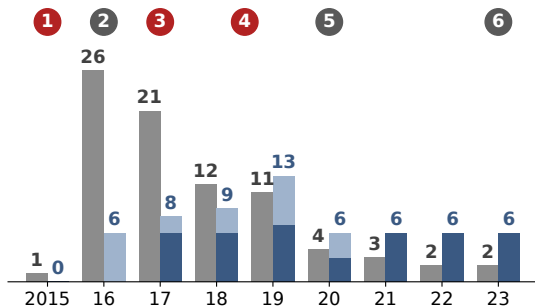
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One commission for him. For his customer, a policy that failed when he needed it most.

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5 2020: Arkansas and North Carolina revoke; On Sep 30, multiple carriers drop him in single day.

6 2023: still licensed in two states (ME and VA) and appointed by six carriers at the end of our data.

Nobody Had the Full Picture

- Corchado's complaints sat with individual state regulators and with the carriers that were involved. Nobody else could see them, and nobody saw all of them.
- For a stockbroker, the complaints would be on BrokerCheck. There is evidence that the market responds (Egan, Matvos and Seru 2019). Insurance has no comparable record, and three times as many sellers: about 2.4M licensed producers against roughly 700,000 financial advisers.
- Two prior academic studies use data from Texas, the one state that discloses customer complaints: Brown and Minor (2015) ask who misbehaves; Honigsberg, Hu and Jackson (2025) show that stockbrokers barred by FINRA move into insurance. **Neither asks whether the insurance market disciplines misconduct. We have the confidential complaint file for 26 states, covering their agent populations.**

This paper

The largest record of U.S. insurance-agent misconduct assembled to date. We ask three questions:
Is past misconduct informative about future misconduct? Does the labor market punish it?
Does the answer depend on who can see the record?

What We Find

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- ❸ **The penalty is larger where someone is watching.** In Texas, the one state that posts complaints, the exit response is **about 3.5 times larger**. For agents who are also stockbrokers, the same complaint moves their likelihood of brokerage exit but not their insurance exit.

Our Setting: Insurance Agents

Insurance agent	licensed by a state to sell policies for the carriers that appoint them; 2.45M licensed individuals nationally, 806,089 appointed agents in our 26 states
vs. insurance broker	represents the buyer, mostly in commercial lines; most states issue both the same <i>producer</i> license, and we call everyone with an appointment an agent. Not a stockbroker (FINRA).
Carrier	the insurer that writes the policy; a group owns several (State Farm Life, State Farm Fire & Casualty)
License (LOA)	permission from a state to sell one <i>line of authority</i> (life & annuity, health, P&C); one license per state per line
Appointment	a carrier's filed authorization to sell its products; no appointment, no sale
Regulator	each state licenses and disciplines its own agents
Exit	appointments at the start of the year, none at year end or after; about 6% of agent-years

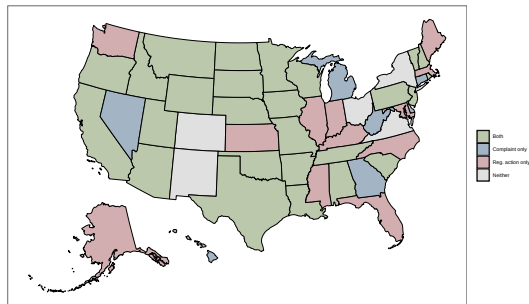
Data and Sample

Sources

- Discovery Data / National Insurance Producer Registry (NIPR): licenses, appointments, terminations
- National Association of Insurance Commissioners (NAIC): customer complaints (confidential), carrier financials
- State regulators: regulatory actions, scraped and by public records request
- FINRA BrokerCheck: brokerage record for dual-registered
- Experian: annual credit records; the deceased flag

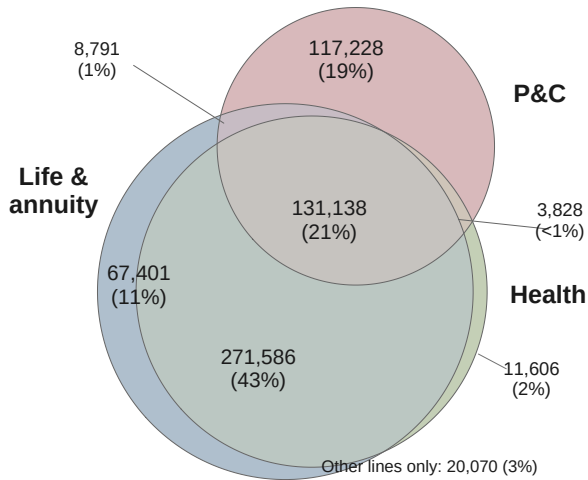
Sample

- 26 states with both complaint and regulatory-action data for years 2017–2022
- 806,089 agents, 3.29M agent-years



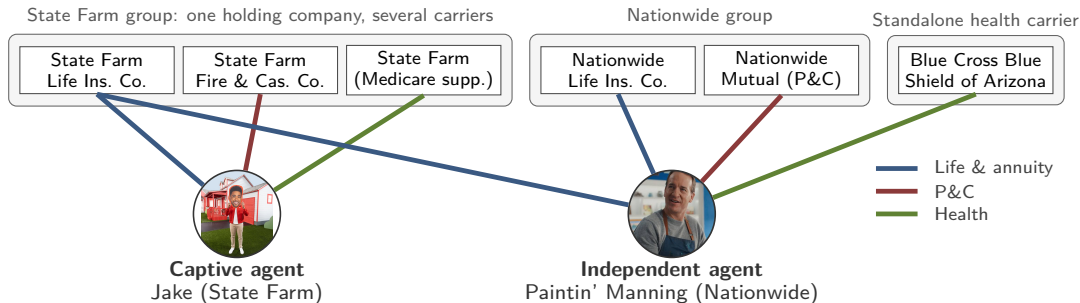
Green: the 26 sample states, with both complaint and regulatory-action data. Blue: complaints only; pink: regulatory actions only; grey: neither.

Licenses Are Split by Line of Authority



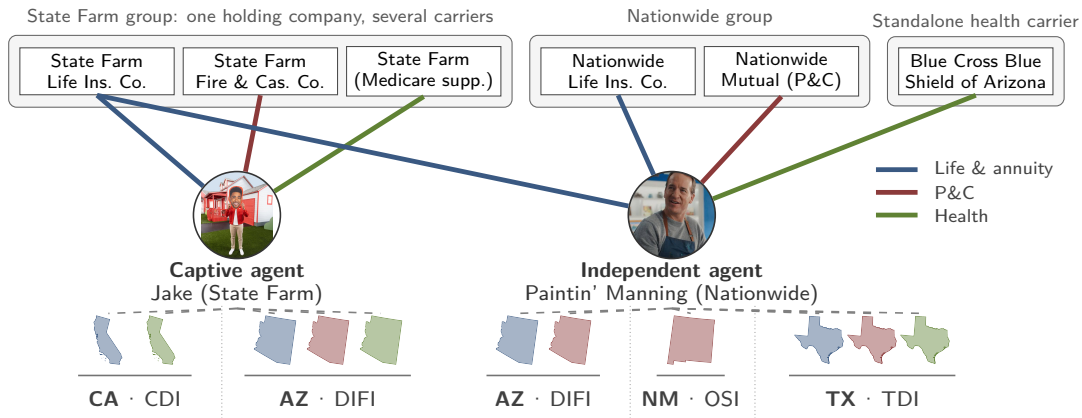
Overlap of the three major lines of authority (life & annuity, health, P&C), share of agents.

One Agent, Many Carriers, Many Regulators



Captive agent: sells for one carrier group (27% of agents). **Independent agent:** holds appointments across groups (73%); each carrier decides alone whether to keep the agent. The median agent has 7 carriers in 4 groups but is licensed in one state; the broad ones, in dozens.

One Agent, Many Carriers, Many Regulators



Now layer on the regulators: one license per state *per line*, from that state's regulator. In this illustration, five licenses under two regulators for the captive agent and six under three for the independent one.

No common monitor: each carrier sees its own appointment, each regulator its own file.

What Is Insurance Misconduct?

		% of agent-years
Customer complaint	filed with the state regulator, usually after the agent would not fix it	0.52
Confirmed complaint	our main measure: the regulator investigates and finds a violation; a third of confirmed complaints are referred for discipline	0.13
Regulatory action	a money penalty in 55%; suspension or revocation; public everywhere; 39% include a revocation	0.07
FINRA misconduct	for the 22% who are also stockbrokers, a customer brokerage complaint on BrokerCheck	0.65

- **Marketing and sales, 56% of confirmed complaints:** misrepresenting a policy's terms or expected returns; an unsuitable product, such as a complex annuity sold to an elderly customer; churning, replacing policies to earn new commissions; transacting without the customer's authorization.
- **The rest:** service (premiums, billing, cancellations) 25%, underwriting 11%, claims 10%. Sales complaints are the most clearly the agent's own conduct.

Who Sees the Record, and What Can They Do?

	Regulators	Carriers	Customers
Insurance complaint, 25 states	✓	own product only	×
Regulatory action	✓	✓	✓
FINRA disclosure, stockbrokers	✓	✓	✓
Insurance complaint, Texas	✓	✓ posted file	✓ posted file
What each can do	fine, suspend or revoke, in its own state	end its own appointment	file a complaint

For the 22% who are also stockbrokers, a broker-dealer supervises and can fire, and FINRA can bar.

Many monitors, each see a slice. Responsibility is similarly fragmented.

Is Detected Misconduct Informative?

$$Misc_{i,t+1} = \beta PriorComplaint_{i,t} + \gamma PriorRegAction_{i,t} + \delta' \mathbf{X}_{i,t} + \lambda_{c \times t \times p} + \varepsilon_{i,t}$$

Next year ($\times 100$)	Confirmed complaint	Regulatory action	FINRA misconduct (dual-registered)
Prior complaint	1.27*** (0.08)	0.81*** (0.06)	0.54*** (0.15)
Prior regulatory action	0.45*** (0.11)	2.41*** (0.19)	
Base rate	0.13	0.07	0.65

- **Not just big sellers.** Controls for volume, business model and carrier quality, plus county $\times$ year $\times$ license-portfolio fixed effects, move the coefficient only from 1.45 to 1.27.
- **Beyond the public record.** Each column also controls for public misconduct (regulatory actions; BrokerCheck for stockbrokers). In sample, a screen using prior misconduct catches 29.9% of next year's cases in its riskiest 5%, against 25.0% without.

Future misconduct is predictable from information regulators already hold, but customers and most carriers cannot see.

Does Anyone Act? The Baseline

Effect in the year of the event	Exit industry	Carrier terminations	New appointments	Net appointments
Confirmed complaint	1.00***	0.71***	0.56*	-0.19
Regulatory action	5.76***	2.33***	1.56***	-1.59*
revocation	14.01***	3.59***	-0.07	-5.71***
any other action	0.45	1.57***	2.53***	0.89

A complaint adds about one point to a 6% exit rate. Carriers terminate more, but appoint more too, so the agent keeps access. For stockbrokers, misconduct raises job separation, including moves to another firm, by 31 points on a 19% base (Egan, Matvos and Seru 2019). The closest insurance analog is a carrier termination: 0.71.

Exit and terminations in percentage points; new and net appointments as $100 \times \log$ growth. Exit is read from appointment and license records; Zombie Appointments asks how complete they are.

Does It Cost the Agent Anything?

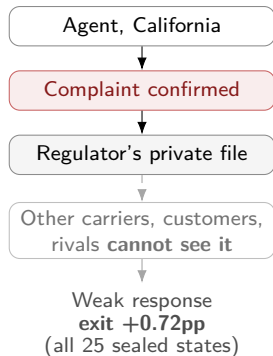
- **Is there a penalty the job numbers miss?** Lost commissions, lost clients and fines all show up in personal finances. Experian credit records follow agents even after they leave: about 435,000 agents.
- **After an insurance complaint or a regulatory action:** no evidence of deterioration in credit score, new defaults or collections.
- **After FINRA misconduct:** score -1.6 , collections $+\$54$, and new defaults **+1.3 points on a 17% base.** [▶ details](#) [▶ figure](#)

Insurers barely respond, and we find no evidence that an insurance complaint hurts the agent's credit. Is that because insurers do not care, or because they cannot see?

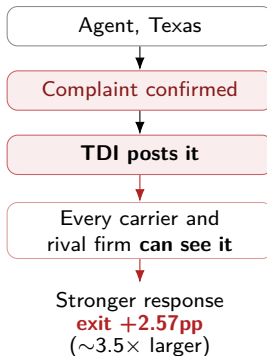
Is Everything Bigger in Texas?

Two agents, the same confirmed complaint, same line, same year

Filed in **Sacramento**: sealed



Filed in **Austin**: posted



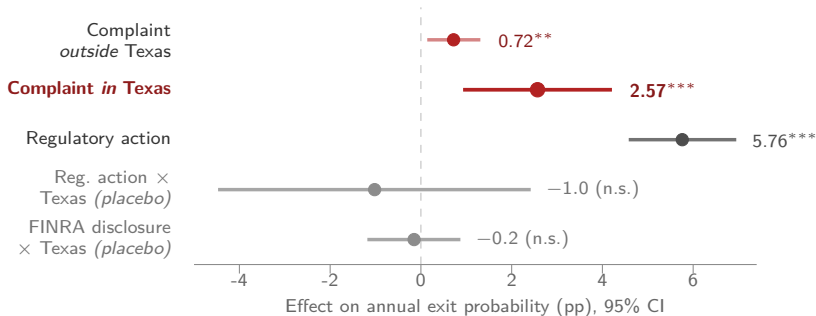
the gap between them is the coefficient

What is different about Texas: its disclosure policy. Since at least 2007 the state posts confirmed complaints naming the agent. Licensing, sanctions and carriers work as elsewhere.

Ideal experiment: randomly assign which complaints carriers can see. Texas is the closest thing.

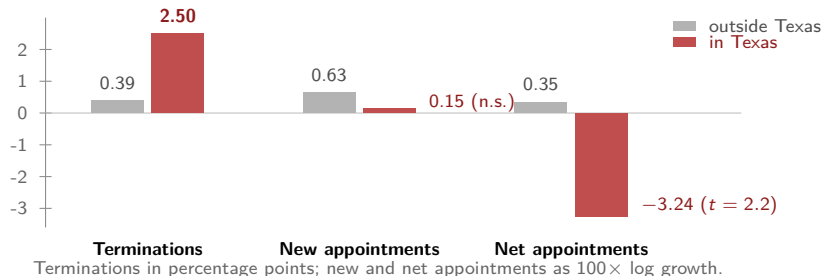
The test: add Complaint $\times$ Texas to the exit regression, same controls and fixed effects. 653 Texas complaint-years.

Where the Complaint Is Public, the Response Is Larger



- Outside Texas a confirmed complaint adds 0.72 points to exit (the baseline's one point, now split by state); in Texas, 2.57. **The Texas interaction, +1.85** ($t = 2.1$, clustered by agent), is the test of Texas against the other 25 states. Two placebos on the same axis: the FINRA one is tight, the regulatory-action one is too noisy to say.

Carriers Respond the Same Way



- Where the complaint is public, carriers terminate **six times more often**. New appointments do not offset it. The agent's net number of appointments falls (suggestive; terminations are the firmer result).

Disclosure, or Just Something About Texas?

- **Texas is not harsher across the board.** Regulatory actions and FINRA disclosures are public everywhere, and neither draws a Texas premium (-1.0 and -0.2 , n.s.).
- **The effect follows the posting, not the agent.** A complaint filed in Texas about a Texas-based agent: about $+2.6$ ($t = 3.0$). Filed elsewhere about a Texas-based agent: about $+0.3$ ($t = 0.2$).
- **Texas does not confirm worse complaints.** It confirms 34% of complaints, mid-pack among states (4% to 60%); against Wisconsin, which confirms 33%, the exit gap is $+3.7$ points ($t = 3.3$).
[▶ plot](#)
- **One treated state.** The same regression state by state puts Texas first of 26 by t . [▶ all 26](#)

[▶ 2 × 2, HB 4030](#)

The Texas effect travels with disclosure, not with Texas.

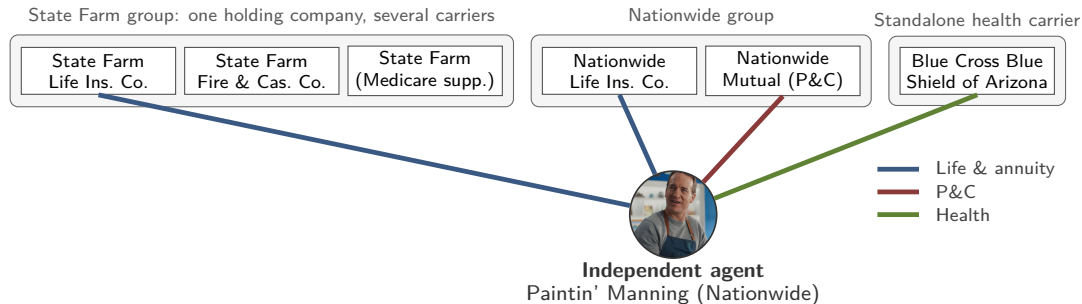
A Second Test: Same Agent, Two Hats



- **Holding the agent fixed.** Dual-registered agents, 22% of the sample, are both an insurance agent and a FINRA-registered stockbroker. The same person, the same conduct, two industries responding.
- On the insurance side, where the complaint is sealed, an insurance complaint predicts *no* exit (-0.07 , n.s.). On the brokerage side, where a firm supervises, the *same* insurance complaint is followed by exit from brokerage ($+2.16pp$). The complaint itself is not on BrokerCheck.
- The one signal that predicts *insurance* exit for these agents is the public one: a FINRA disclosure ($+0.80pp$).

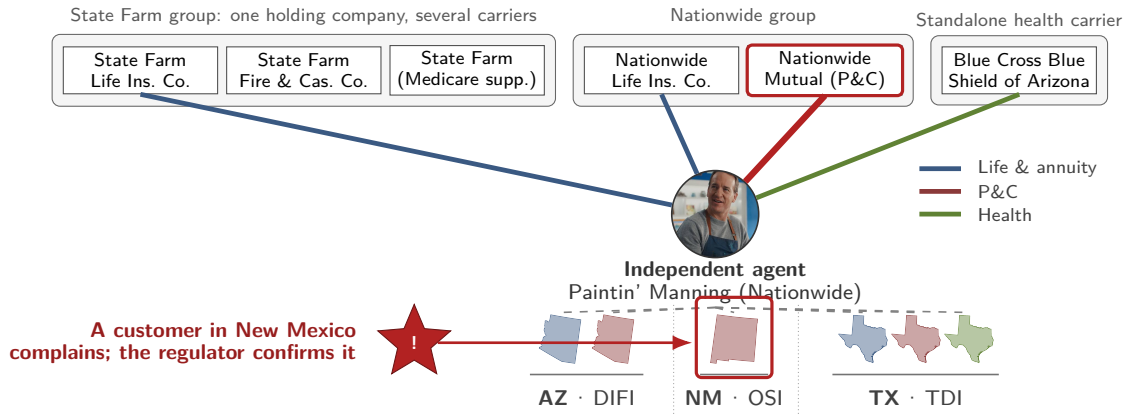
Texas changes who can see a complaint; brokerage adds a firm that *supervises*. Both point the same way: discipline follows **who observes misconduct and has a reason to act.** [▶ one license record](#)

When a Regulator Acts



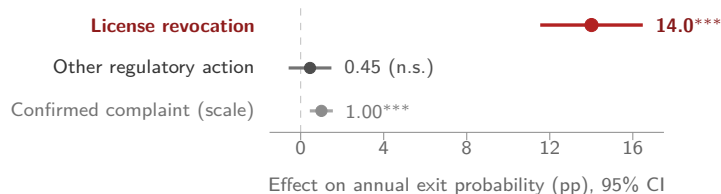
So far, most complaints go unseen. What if Paintin' Manning paints outside the lines and a regulator decides to act?

When a Regulator Acts



Imagine he misrepresents the Nationwide Mutual policy to a New Mexico customer, and the regulator confirms the complaint. **Two parties learn:** New Mexico's regulator and Nationwide Mutual. If New Mexico suspends him, it removes one license; the Arizona and Texas licenses and the other appointments stay. So what does a sanction reach?

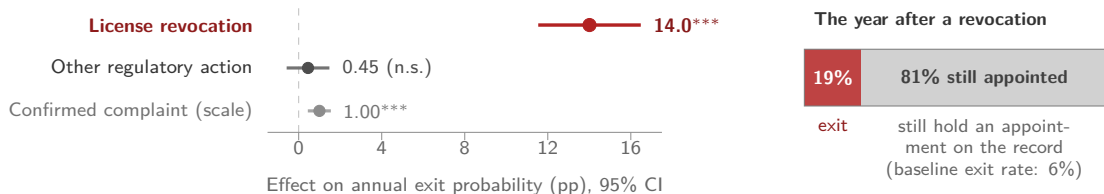
Does the Harshest Sanction Work?



- **Only revocation moves exit.** Every regulatory action is public everywhere, so this is severity with observability held fixed. Fines, suspensions and orders move terminations (+1.6pp), and the agent is re-appointed.

Revocation, the harshest sanction a regulator has, raises recorded exit from 6% to 19%.

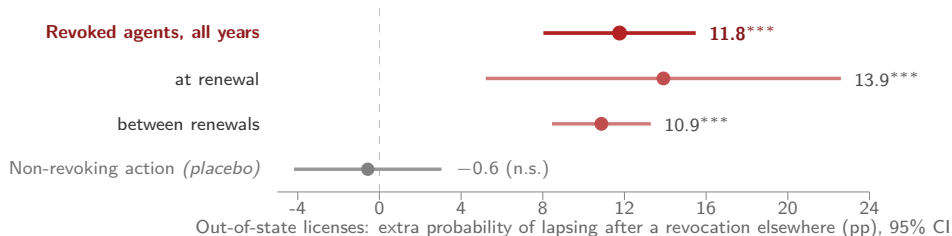
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- **Even revocation leaves four in five agents in the industry.** Licenses are state by state, so a revocation stops at the state line. The next slide shows what happens to the licenses elsewhere.

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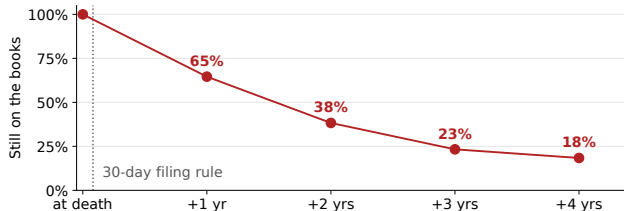
A Revocation Stops at the State Line



- **Within the revoking state, lines are not the leak.** A license that goes takes every line with it: 95% of in-state license losses after a revocation are the whole state.
- **Across states, the other regulators catch up slowly.** An out-of-state license is 13.9 points more likely to lapse at renewal and 10.9 points more likely between renewals. Most states renew every two years. Arizona renews every four.

A revocation speeds up out-of-state lapses, but only modestly, and four in five revoked agents stay in the industry.

Zombie Appointments



- **How complete is the appointment record?** Death is the easiest exit to file: unambiguous, undisputed, and the carrier faces the same 30-day termination rule that produces a stockbroker's U5. Yet a year after the agent dies **65% of their appointments are still on the books**, and 38% two years on. [▶ filed, silent, still live](#)
[▶ why the record is silent](#)
- **The slowness is in the system: nobody's job is to keep it current.** With a yearly fee per appointment, two thirds of dead agents have a termination on file within two years; with no bill, about half.

So exit levels are floors, including the 19% after a revocation. Ratios like one point on six hold unless exits after misconduct are recorded differently from quiet ones.

Deaths from the Experian deceased flag; 47,904 agent-carrier pairs and 3,289 agents at three years. Past two years some rows may simply have stopped updating, so read those points as an upper bound on the lag.

Why Is Discipline Weak?

- ① **Observability** - Complaints are sealed outside Texas; where they are public, the response is about 3.5 times larger.
- ② **Fragmentation** - Licenses are state by state, so a revocation reaches only one state; most out-of-state licenses stay.
- ③ **Conflicted incentives** - Carriers benefit from the premiums misconduct generates and compete for productive agents, yet where complaints are public they act.

The first two have direct policy fixes.

A Possible Fix: One Missing Field

- NIPR's Producer Database already gives subscribing carriers one national record per agent: licenses, appointments, regulatory actions.
- **Confirmed complaints are the missing field.** Regulators already hold them, and an agent with one on file is ten times more likely to get another.
- Texas shows what follows when carriers can see them. A public "BrokerCheck for insurance" could extend that to customers, which even Texas has not done: its file is a bulk download, not a lookup.
- **A second margin: coordination.** Sanctions that travel, so a revocation in one state reaches the agent's other licenses.

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Back to Corchado

Corchado's confirmed complaints began in 2015. A carrier appointing him in 2018, unless it had handled one of them, **had nowhere to look them up.**

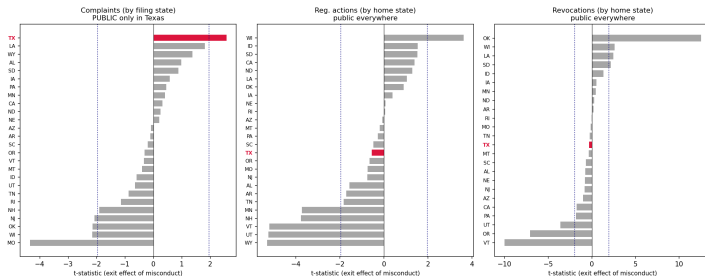
Conclusion

- Insurance-agent misconduct is persistent and predictable, yet the labor market penalty is weak.
- **Discipline is several times stronger where misconduct is public** (Texas) and on the brokerage side of the same agents. Even the strongest sanction, revocation, leaves most agents in the industry.
- An informative signal produces weak discipline **when the people who decide cannot see it**, or have little reason to act. The first step is one field on the industry's national file; the full step is a public "BrokerCheck for insurance."

Appendix

Appendix: Texas Against Every Other State

Per-state placebo: Texas is the only significant state for complaints (the signal it makes public), not for reg actions or revocations (public everywhere)



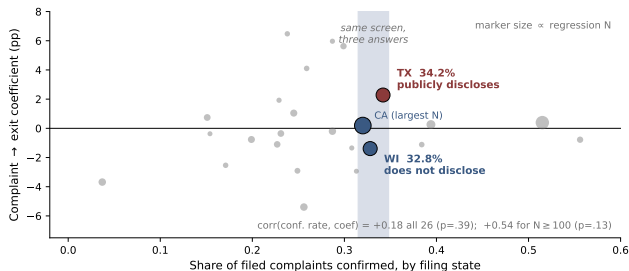
Per-state placebo: the exit effect of each signal, estimated state by state (all 26 states; t -statistics).

Complaints (public only in Texas): Texas is the only state with a significant positive effect, and its t is the largest of the 26 (randomization $p = 0.04$ one-sided, 0.08 two-sided). By raw coefficient it is 5th of 26 ($p = 0.19$), behind four states with 12 to 66 complaints each. California, the best-powered control (963 complaints), is a precise zero ($+0.19$, $t = 0.3$). WI, MO, OK and NJ are significantly *negative*, so the state-level null is overdispersed. Regulatory actions and revocations, public everywhere, show no Texas outlier. Texas stands out *only* for the signal it uniquely makes public.

Appendix: “Is Texas Different?” Per-State Placebo

- We replace the Texas interaction with each other state, one at a time.
- **Texas is the only state with a significantly positive effect**, and the only state where complaints are public.
- Predictability of complaints does *not* differ in Texas, and reg-action / FINRA interactions with Texas are null (public everywhere). Not what a generic “Texas is unusual” story predicts.
- **Filing state vs. agent location (2×2)**. Exit effect of a complaint: filed in TX & agent based in TX **+2.56** ($t = 3.0$); filed in TX, agent based elsewhere +2.27 ($t = 0.6$, 25 obs.); filed elsewhere, agent based in TX +0.31 ($t = 0.2$). **The effect travels with where the complaint is posted, not where the agent lives.**
- **Texas HB 4030 (Sept 2021)** abolished sub-agent appointments and created a wave of new Texas appointment records. It cannot create exits: the within-Texas cell is +2.35 ($t = 2.6$) on 2017–2020 alone and the post-2021 interaction is -0.6 ($t = -0.3$). The exposure is appointment-side outcomes in 2021–22, which we flag.

Appendix: Does Texas Confirm a *Different Kind* of Complaint?



- **The worry.** If Texas's screen confirms a more severe set, the coefficient is bigger because Texas complaints are *worse*, not *public*.
- Texas confirms **34.2%**; the range runs 3.7% (OK) to 59.7% (FL), pooled 25.7%. **Texas sits mid-distribution.**
- **The sharp version.** **TX 34.2%, WI 32.8%, CA 32.0%:** one screen, three answers (+2.28, -1.39, +0.19). TX and WI match on *treated agent-years* (653 vs. 662) and differ by **+3.67 pp (t = 3.3)**.
- **Where it is not clean.** The relation is positive but insignificant ($r = +0.18$, $p = .39$; +0.54 for $N \geq 100$, $p = .13$), and several non-disclosing states are significantly *negative*. That dispersion is why we report randomization inference alongside the clustered p .

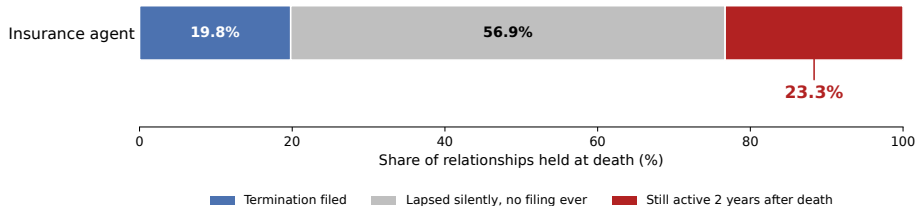
Appendix: Why the Record Is Silent: Three Ways an Appointment Ends

	Cost to the carrier	Record created	What other carriers learn
Let it lapse at renewal	none	none	nothing
Terminate, no cause stated	none (saves the renewal fee)	a date	nothing
Terminate <i>for cause</i>	detailed report to the state	a sealed report	almost nothing [†]

[†] Under the Model Act the old carrier may tell a new one only *whether* a for-cause termination was reported, yes or no, with no detail; the report itself is confidential and privileged, and only a final adjudicated action becomes public.

- The informative path is the only one that costs something, and its output is privileged by statute: regulators see it, **no other carrier ever does**. The default path requires no affirmative act at all.
- **Why the brokerage record stays clean: an invoice.** Every November FINRA bills each firm for every representative in every state; unpaid registrations are **terminated automatically on January 1**, and firms file post-dated U5s in December to stop paying for people who have left. One national gate, on top of the 30-day U5 rule.
- **Insurance has no national gate.** Of our 26 states, 13 bill carriers annually for appointments (terminations cluster in the invoice month), 8 are *perpetual* (no invoice, no annual event; Texas is one), and 4 keep no appointment records at all. Two years after a death, 66% of dead agents in renewal states have a termination on file against 53% in perpetual states.
- So the silent endings are not negligence. They are the cheapest option in a system that, unlike brokerage, never forces the carrier to choose.

Appendix: Dead Agents: Filed, Silent, Still Live



- Of the appointments a dying agent holds, a termination is filed for **19.8%** within two years, **56.9%** lapse with no filing ever, and **23.3% are still live more than two years after the death.**
- The filed share is what "carriers respond" means on the record; the silent share is the part of the record nobody writes.

Deaths 2017–2020 so the two-year window is observable; Experian deceased flag, which runs late, so the still-live share is a floor.

Appendix: Credit Follows the Brokerage Record

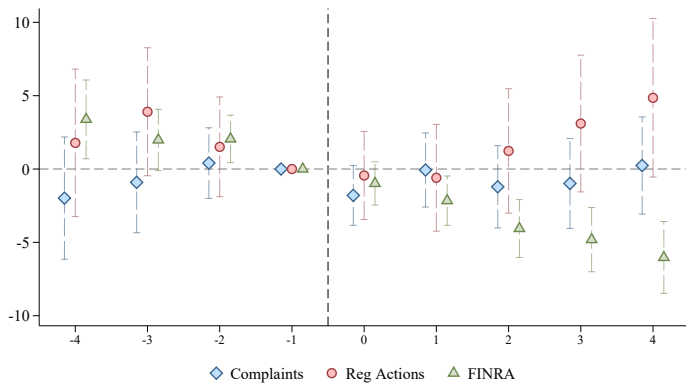
- **Is there a cost outside the labor market?** Agents matched to Experian credit records: about 435,000 agents and 2.4M agent-years in the regressions, annual snapshots, kept after exit. Outcomes: VantageScore, any new default, collections balance.
- **Complaints and regulatory actions: no detectable effect** on any of them.
- **FINRA misconduct: small but significant** deterioration (-1.6 score, $+1.3$ pp default, $+\$54$ collections). The personal-finance effect follows the brokerage record, not either insurance record.

▸ by Texas

▸ defaults and collections

◀ back

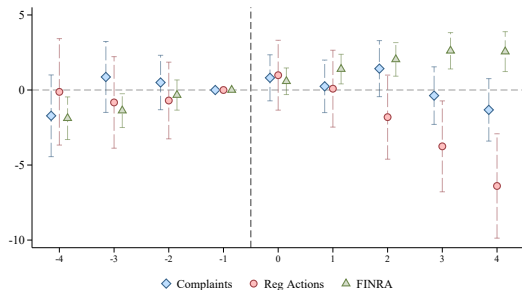
Appendix: Credit Score Around First Misconduct



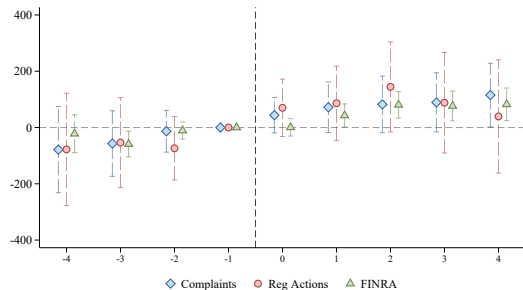
VantageScore, event time relative to first misconduct; complaints, regulatory actions and FINRA misconduct plotted separately; agent and county $\times$ year $\times$ license-portfolio fixed effects.

Appendix: Credit Event Studies, Defaults and Collections

Any new default (pp)



Collections balance (\$)



Event time relative to first misconduct; complaints, regulatory actions, and FINRA misconduct plotted separately. VantageScore is on the credit-score frame; delinquencies available on request.

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Appendix: Barred by FINRA, Appointed 24 Times

FL Florida DFS licensee search

PIPENHAGEN, TERRENCE REID

License A207818, NPN 81085, Orlando

Five lines of authority, all valid: life (since 1978), life with variable annuity (since 1993), life & health, health, life with VA & health

Active appointments: 24. Humana, Aetna, Guardian, Principal, Nationwide, ... (latest July 2026)

Administrative actions: none

Sources: Honigsberg, Hu and Jackson 2025 (JFE), who open with his case; Florida DFS bulk license and appointment files, 1 Sept 2026; LinkedIn. Public records only; he is not in our regression sample.

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FINRA BrokerCheck: barred, 2008. Sent clients false account statements after losing their funds.

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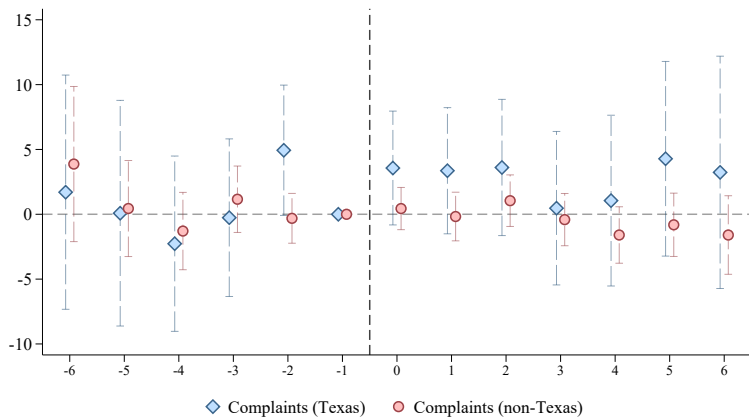
CFTC Fined \$150,000, 2010, and ordered never to register or claim an exemption.

LinkedIn September 2026: "Health Insurance Broker | Executive Benefits Consultant," wishing his network a happy Labor Day.

Three regulators, three records, and his own profile. **The one record a customer checks when buying insurance is the empty one.** Barred by FINRA and fined by the CFTC, still holding 24 appointments.

Sources: Honigsberg, Hu and Jackson 2025 (JFE), who open with his case; Florida DFS bulk license and appointment files, 1 Sept 2026; LinkedIn. Public records only; he is not in our regression sample.

Appendix: Credit by Texas, Any New Default



Any new default around first misconduct, Texas against the other states.